

Challenge Based Learning

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COMPANY CHALLENGE (given by the organization)

Company Name: Farmit

Case Name: Scaling trust beyond borders - Farmit's expansion from Serbia into the Balkans and Southeast Europe.

Context Summary: Farmit is a fast-growing agri-food startup based in Belgrade that connects urban consumers directly with local farmers through a subscription-based “rent-a-garden” model. By shortening the supply chain, they ensure farmers earn significantly more while consumers receive fresh, pesticide-free produce. Since its launch in 2023, Farmit has built a strong brand centered on transparency and trust. The company is now at a crossroads: they are looking to scale into neighboring regional markets while simultaneously developing “Far meat”, a B2B initiative featuring smart vending machines for healthy meals.

Challenge defined by the company: “How can Farmit expand from Serbia into Balkan and Southeast European markets without diluting the trust, food quality standards, and farmer fairness that define our brand? When is the right moment to pursue this expansion, and where and what initiatives should be taken to do it properly?”

Case Materials Provided:

- Strategic Report;
- Case Descriptor;
- Company Pitch;
- Farmit Introductory Video.

Challenge-Based Learning (CBL), PHASE 1

1. ENGAGE – Understand and Frame the Company Challenge

1.1 Reformulated Challenge in your own words

Description:

The challenge is to define a scalable and adaptable expansion strategy that allows Farmit to replicate its trust-based digital marketplace in the Balkans, while addressing differences in market maturity, logistics, and consumer trust, and aligning this growth with its broader strategic direction, including the development of Far meat.

The challenge we will work on is:

Farmit's goal is to take its success in Serbia and expand into the wider Balkan and Southeast European markets. The core of the challenge is figuring out how to scale up internationally without losing the soul of the brand, especially the high level of consumer trust, strict food quality standards and the fair, direct relationships with small farmers.

Essentially, we need to determine if a business model built on local transparency can be replicated across borders, while also deciding how to balance resources between the main subscription service and the newer "Far meat" B2B vending machine project.

2. INVESTIGATE – Explore, Ask, and Discover

2.1 Guiding Questions

1. **Consumer Trust:** How do food transparency expectations and "buy local" mentalities differ in neighboring Balkan countries compared to Serbia?
2. **Logistics and Operations:** What are the main regulatory or physical obstacles to moving fresh products across borders in a short-chain model?
3. **Quality Control:** How can Farmit maintain its "no pesticide" guarantee and farmer-fairness protocols when working with producers in different geographical regions?
4. **Strategic Focus:** Is it more effective to lead the expansion with the high-tech Far meat vending machines or the established subscription model?
5. **Digital Scaling:** What specific updates does the software platform need to handle multiple languages, currencies and tax systems across the region?

2.2 Guiding Activities

Guiding Question 1 (Consumer Trust) - Activities:

1. **Comparative Market Research:** Conduct a study to compare consumer attitudes toward local organic food in target markets like Croatia, Romania, or Bulgaria versus the current Serbian market
2. **Consumer Surveys:** Design and distribute a short survey targeting families in potential expansion cities to understand what trust and food transparency mean to them.

OR Review existing consumer studies and market reports to understand what trust and food transparency mean to families in potential expansion cities.

Guiding Question 2 (Logistics and Operations) - Activities:

1. **Regulatory Review:** Verify the import/export regulations, 3PL and food safety standards for fresh products moving between Serbia and neighboring countries.

Guiding Question 3 (Quality Control) - Activities:

1. **Process Mapping:** Map the current quality control journey in Serbia, from the farm to the distribution center, to identify which steps can be decentralized or automated.
2. **Standards Research:** Research international organic certification frameworks to adapt Farmer quality protocols for new markets.

Guiding Question 4 (Strategic Focus) - Activities

1. **Data Assessment:** Analyze the initial performance data of the “Far meat” pilot in Belgrade compared to the subscription growth rates to determine which model scales faster.
2. **Financial Study:** Estimate the capital requirements for placing vending machines in a new country versus the cost of setting up a local farmer network of subscriptions.

Guiding Question 5 (Digital Scaling) - Activities:

1. **Technical Study:** Review current software docs to evaluate the platform’s capacity for multi-currency integration, language localization and regional tax compliance.

2.3 Company Provided Materials + External Resources

- Company resources:
 - [Farmit](#) - official website
 - Farmit Go To Market Strategy
 - Farmit pitch deck
 - Video from the Co-Founder/CEO
- External resources:
 - [EU Farm to Fork Strategy](#) – policy
 - [Food and Agriculture Organization](#) – organization
 - [UN Sustainable Development Goals](#) – framework
 - [Community-supported agriculture](#) – model
 - [Direct-to-consumer \(DTC\) food model](#) – trend

2.4 Evidence Collected

1. Digital Transformation

- Analysis of the Farmit shows a digital subscription platform connecting farmers and consumers, but with limited personalization and advanced UX features.
- Customer insights show low active search and awareness, indicating gaps in digital visibility.
- Benchmarking with the Direct-to-consumer (DTC) food model highlights the need for seamless UX and retention-focused features.

2. Green Transition

- Farmit reduces intermediaries and supports local sourcing, contributing to more sustainable food systems.
- Alignment with the EU Farm to Fork Strategy supports sustainability goals but lacks measurable impact tracking.
- Food and Agriculture Organization frameworks emphasize the need for waste reduction and impact measurement.

3. Inclusion

- User segmentation shows diverse needs but limited flexibility across segments.
- The service mainly targets urban users, suggesting accessibility and affordability gaps.
- Linked to UN Sustainable Development Goals, broader inclusion remains a challenge.

4. Responsible Entrepreneurship

- Analysis indicates that Farmit improves farmer income and supports local producers through a direct-to-consumer model, increasing fairness in the supply chain.
- Customer expectations emphasize transparency, trust, and product origin, pointing to the importance of ethical sourcing and communication.
- Alignment with farm-to-table principles reinforces the need for traceability, accountability, and consistent quality standards.

5. Civil Engagement

- Comparison with Community-supported agriculture models shows opportunities to strengthen user participation and community involvement.
- Internal strategy highlights community-building activities (events, farmer storytelling), but indicates room for deeper engagement and co-creation with users.
- Evidence suggests that stronger communication and interaction between users and farmers can improve trust, loyalty, and long-term adoption.

Evidence and key findings:

1. **Evidence:** Users value convenience, quality, and transparency, but are not actively searching for the service and show limited engagement.
Key finding: Low awareness and insufficient digital experience limit user acquisition and retention.
2. **Evidence:** Farmit connects local farmers directly with consumers, reducing intermediaries and supporting sustainable sourcing.
Key finding: The model has strong sustainability and fairness potential but lacks

measurable impact tracking and scalability.

3. **Evidence:** Benchmarking with the Direct-to-consumer (DTC) food model and Community-supported agriculture highlights the importance of personalization and community engagement.

Key finding: Strengthening digital features and community involvement is key to improving loyalty and long-term growth.

2.5 Insights (linked to possible solutions)

1. Trust must be actively built, not assumed to be transferable

- Farmit's success in Serbia is strongly linked to consumer trust, transparency, and direct farmer relationships; however, low awareness and engagement suggest that trust is not automatically transferred to new markets and must be actively built through localized communication, community engagement, and visible proof of quality.

2. Digital experience and engagement are critical for scaling the model

- The current limitations in digital visibility, personalization, and user engagement indicate that scaling Farmit beyond its home market will require a stronger, more intuitive digital experience that enhances customer retention, simplifies onboarding, and increases interaction between users and farmers.

3. The business model is strong but requires adaptation for scalability and measurement

- While Farmit's direct-to-consumer model creates strong sustainability and fairness benefits, its expansion will depend on improving scalability mechanisms, including standardized processes, measurable impact tracking, and potentially hybrid models (such as Far meat) to support growth across different market conditions.